

Front Range Commercial Services

Commercial janitorial services, Denver metro, 22 years in business, \$5.2M revenue • Prepared September 2026 • Reviewed and signed by Mike Ye

Sample memo. The business, buyer and figures are fictional. They were built to show what a real Buyer Memo covers and how it reads.

Recommendation: don't sign at \$4.2M. Offer \$3.5M, aim to close after the hospital contract is re-awarded, and walk away above \$3.7M.

This is a good business at the wrong price. At \$4.2M it fails the SBA lender's 1.25x coverage test on the earnings a lender is likely to accept, and it has no room for the biggest risk: a hospital contract worth 24% of revenue is rebid in May 2027. At \$3.5M the deal passes the lender's test with room to spare and still holds up if the hospital renews at a lower rate.

The numbers that matter	
Asking price	\$4.20M
Seller's stated earnings (owner cash flow)	\$1.17M, so 3.6x
Earnings after the rebuild in section 2	\$0.94M, so 4.5x at the asking price
Highest price that passes the SBA lender's coverage test	about \$4.0M
Highest price that also passes the buyer's safety test	about \$3.55M
Highest price the lender's test supports if the hospital is lost	about \$2.5M
Recommended offer	\$3.50M
Walk-away price	\$3.70M

1. What a lender will finance

From October 1, 2026, SBA lenders test acquisitions on historical or adjusted results, not forecasts, and require cash flow of at least 1.25 times the yearly loan payments. On purchases of \$3M or more, the lender also orders an outside earnings review and an independent valuation. This memo applies two tests:

- **The lender's test:** rebuilt earnings, less market pay for the buyer as full-time operator, divided by yearly loan payments.
- **The buyer's safety test:** the same, less the cost of replacing vans. It's stricter than the lender's test, because van replacement is real cash the buyer has to find every year.

At the asking price	Amount	Note
Purchase price	\$4,200K	
SBA guarantee fee	\$114K	Estimate, financed into the loan
Closing and diligence costs	\$90K	Legal, the lender's earnings review, valuation
Working capital cushion	\$200K	Payroll cash while hospital invoices take 60 days to collect
Total project cost	\$4,604K	

At the asking price	Amount	Note
Buyer equity (10% of total cost)	\$460K	Up to half can be a seller note with no payments for the full 10-year loan
SBA loan	\$4,144K	10 years at 10.0%
Yearly loan payments	\$657K	
Lender's test: \$792K cash (rebuilt \$942K less \$150K operator pay)	1.21x	Fails the 1.25x floor
Buyer's safety test: \$702K cash (also less \$90K van replacement)	1.07x	No margin for a bad year

The lender's required independent valuation is a second hurdle. At 4.5x rebuilt earnings, it may well come in below \$4.2M, and the loan can't exceed what the business appraises for.

2. Earnings, rebuilt the way a lender is likely to see them

The seller's \$1.17M adds \$577K back to net income. Most of it is fair. \$225K is not, and the lender's earnings review is likely to find it.

Seller's item	Seller claims	Buyer view	Why
Net income	\$590K	\$590K	Per 2025 tax return
Depreciation and interest	\$65K	\$65K	Standard. Van replacement is handled in the buyer's test
Owner's salary	\$200K	\$200K	Accepted. The buyer's own pay is deducted in section 1
Owner's personal expenses	\$30K	\$30K	Truck and family phones; documented
Spouse on payroll	\$72K	\$12K	She runs daily scheduling, a real job. Replacing her costs about \$60K
One-time legal costs	\$80K	\$45K	Only the settled wage claim is one-time; \$35K of collection disputes recur every year
"Lost contract, since replaced"	\$130K	\$0	The replacement customer started in July 2026. Three months of billing isn't a track record, and lenders won't count forecasts. Revisit when a full year shows it
Owner cash flow	\$1,167K	\$942K	

3. Deal-killers, ranked

Each issue is tagged with what to do about it: **investigate** (get evidence), **price** (it changes value), **protect** (handle it in the terms) or **walk** (it breaks the deal).

#	Issue	Why it matters	Action
1	Regional hospital system is 24% of revenue (\$1.25M at a 22% margin); rebid decided May 2027	Losing it removes about \$275K of yearly cash flow. At the offer price, coverage would fall to 0.93x	Protect: close after the award if possible. If not, get the hospital's consent to transfer the contract and check its cancellation terms. Walk if neither
2	\$130K of hoped-for profit counted as earnings	Adds roughly \$470K to the price at the asking multiple	Price: excluded above

#	Issue	Why it matters	Action
3	Owner personally holds the 12 largest accounts	Relationships may not transfer	Protect: 12-month paid transition and introductions before close
4	Spouse runs scheduling, with no written process	Operations stall if she leaves at close	Protect: 6-month employment agreement and a documented playbook
5	Labor: about 110 staff, mostly part-time, with high turnover	Scheduled local minimum-wage increases squeeze margins unless contracts let prices rise	Investigate: which contracts pass wage increases through to the customer
6	Aging van fleet: 24 vans, average age 7 years	Replacement costs about \$90K a year	Price: included in the buyer's safety test

4. Recommended LOI terms

Term	Recommendation
Price	\$3.50M for the operating assets (asset purchase), cash-free and debt-free
Financing	SBA 7(a) loan of about \$3.50M including fees, costs and the working capital cushion; buyer equity about \$390K, of which up to \$195K can be a seller note with no principal or interest payments for the full 10-year loan term
Timing	Preferred: set closing after the hospital rebid is decided in May 2027, with exclusivity through then. If the seller won't wait: require the hospital's written consent to transfer the contract and no notice of non-renewal, and review its cancellation clause
Working capital	Seller delivers normal working capital (receivables less payables and accrued payroll, excluding cash), set at the 12-month average
Transition	Owner stays 12 months, paid as a consultant; spouse signs a 6-month employment agreement
Diligence access	Customer contracts, 36 months of payroll records and bank statements, and the collections history
Why not an earnout	SBA loans don't allow earnouts, so the protection has to come from timing, consents and price
Walk-away	Above \$3.70M. At that price the deal still passes the lender's test if the hospital renews at a lower rate, but only just

5. What happens if... (at the \$3.5M offer)

Case	Lender's test	Buyer's safety test	Result
Hospital renews on current terms	1.43x	1.27x	Comfortably financeable
Hospital renews at a lower rate (about \$60K less cash flow)	1.32x	1.16x	Still financeable; thin for the buyer
Interest rates rise one point	1.37x	1.21x	Payments float with prime; still passes
Hospital contract lost	0.93x	0.77x	Can't cover the loan. This is why timing matters

6. Questions for the seller, in this order

1. When exactly is the hospital contract rebid, who decides, and would you set our closing after the award?

2. Can the hospital contract be transferred to a new owner, and on what notice can the hospital cancel it?
3. Can you show the wage claim settlement papers? Were there any other employee claims in the last five years?
4. Which contracts let you raise prices when wages rise, and when did you last do it?
5. Who at each of the top 12 customers do you deal with, and who else there knows your team?
6. Will your spouse stay for six months, and what does her week actually involve?
7. What does the replacement customer bill each month so far, and is there a signed contract?
8. How many vans need replacing in the next two years, and what did the last one cost?
9. What is employee turnover by year, and how long does hiring take?
10. Why are you selling now?

7. Mike's read

I'd pursue this deal... but not at \$4.2M. The business is real. Twenty-two years, long-tenured customers, and supervisors who have been there a decade. But a quarter of the revenue rides on one hospital rebid in May, and the asking price only works if that contract renews on today's terms. Offer \$3.5M, try hard to set the closing after the award, and walk above \$3.7M. If the seller insists on closing before the hospital decides, the price has to carry that risk... and it lands well under \$3.5M.

Mike Ye

Basis and limits

- Built from the seller's marketing package, tax returns for 2024 and 2025, and 2026 year-to-date statements provided by the buyer, plus the buyer's draft terms. Nothing was independently verified.
- Loan assumptions: SBA 7(a), 10-year term, 10.0% variable rate (prime of 7.00% plus 3%, September 2026), 1.25x coverage floor for acquisitions from October 1, 2026, and buyer equity of 10% of total project cost. The guarantee fee is estimated.
- This memo is decision support. It is not a valuation, a quality-of-earnings report, a fairness opinion, or legal, tax or accounting advice. For SBA-financed purchases of \$3M or more, the lender still orders its own earnings review and valuation.